

The Valuation of Listed Stocks

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At the moment of writing [1949], the Dow Jones Industrial Average stands at 165. Stock prices, as reflected in this Average, are lower in the writer's opinion than values. The reader may agree that stocks are undervalued now, but it is obvious that most investors do not think so, because, if they did, their buying would force prices up to the point where stocks would no longer be undervalued. That raises the question whether it is possible to determine objectively, and in conflict with prevailing opinion, how different the price of a stock ought to be from what it is. More and more one hears the expression: "This or that stock is undervalued and overvalued or fully valued." When an analyst or an investor speaks in such terms, he implies that he has a standard of value in mind, whether he defines that standard or not.

VALUE DIFFERS FROM PRICE

Value often differs from price. Charles H. Dow, whose theory of price trends has had enormous influence in Wall Street, insisted that every student of the market should "first of all know value."